

Tenet: Return on Equity

In 1980, the return on equity at GEICO was 30.8 percent—almost twice as high as the peer group average. By the late 1980s, the company's return on equity began to decline, not because the business was floundering but because its equity grew faster than its earnings. Hence, part of the logic of paying out increasing dividends and buying back stock was to reduce capital and maintain an acceptable return on equity.

Tenet: Profit Margins

Investors can compare profitability of insurance companies in several ways. Pretax margins are one of the best measures. Over the 10-year period 1983 to 1992, GEICO's average pretax margins were the most consistent, with the lowest standard deviation, of any peer group company.

GEICO, as we now understand, paid meticulous attention to all its expenses and closely tracked the expenses associated with settling insurance claims. During this period, corporate expenses as a percentage of premiums written averaged 15 percent—half the industry average. This low ratio partly reflects the cost of insurance agents that GEICO does not have to pay.

GEICO's combined ratio of corporate expenses and underwriting losses was demonstrably superior to the industry average. From 1977 through 1992, the industry average beat GEICO's combined ratio only once, in 1977. Since then, GEICO's combined ratio has averaged 97.1 percent, more than 10 percentage points better than the industry average. GEICO posted an underwriting loss only twice—once in 1985 and again in 1992. The underwriting loss in 1992 was accentuated by the unusual number of natural disasters that struck the country that year. Without Hurricane Andrew and other major storms, GEICO's combined ratio would have been a low 93.8 percent.

Tenet: Determine the Value

When Buffett first started to buy GEICO for Berkshire Hathaway, the company was close to bankruptcy. But he says GEICO was worth a